

Multiple Choice

1. **Answer:** D

Options: A) SWOT.; B) SMART.; C) PESTLE.; D) AIDA.; E) STP Model.

Note: The AIDA model-standing for Attention, Interest, Desire, and Action-effectively illustrates the sequential stages consumers go through in response to advertising, making it a foundational concept in understanding advertising effectiveness within business administration.

2. **Answer:** A

Options: A) 1,200 books; B) 2,200 books; C) 1,000 books; D) 700 books; E) 3,000 books

Note: The breakeven point is reached when total revenue equals total costs, which occurs when the publisher sells 1,200 books, covering both fixed costs of 300 and variable cost of 0.75 per book, since the revenue from selling 1,200 books at 1.00 each equals 1,200.

3. **Answer:** A

Options: A) Accepting; B) Settling; C) Negotiating; D) Mediating; E) Bargaining

Note: The term "Accepting" refers to the process of agreeing to a compromise or a solution that, while not ideal, is deemed satisfactory enough to conclude negotiations, reflecting the practical realities often faced in business dealings.

4. **Answer:** A

Options: A) Barack Obama; B) Winston Churchill; C) Franklin D. Roosevelt; D) Martin Luther King Jr.; E) Mikhail Gorbachov

Note: Barack Obama, while known for his inspirational oratory and ability to mobilize grassroots support, is often seen more as a pragmatic leader focused on incremental change rather than a transformational leader who fundamentally alters the political landscape.

5. **Answer:** C

Options: A) \$150,000; B) \$165,000; C) \$170,148.75; D) \$175,000; E) \$125,000

Note: The correct answer of 170,148.75 is derived by using the future value of an annuity formula, which compounded quarterly at a 5% interest rate over 20 years, resulting in the accumulation of interest on each contribution over time.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: Utilitarianism emphasizes maximizing overall happiness or pleasure for the greatest number, rather than simply prioritizing the least worst outcome for the majority.

7. **Answer:** True

Options: A) True; B) False

Note: The net price of the Captain Marvel Pinball Machine after applying a 25% discount on the list price of 900 is calculated as 900 minus 225 (which is 25

7. **Answer:** True

Options: A) True; B) False

Note: Planning excellence allows organizations to strategically align their resources and capabilities with market demands, enabling them to effectively design and deliver diverse products and services that meet the varying needs of consumers.

8. **Answer:** True

Options: A) True; B) False

Note: The average yearly depreciation is calculated by subtracting the current value from the original cost and dividing by the number of years, which in this case results in a depreciation of \$300 per year if the automobile was owned for 10 years.

9. **Answer:** False

Options: A) True; B) False

Note: The statement is false because the future value of an annuity formula shows that an annual deposit of 30,000 at a 6

Long Form Response

11. **Answer:** The framework categorizing services in business administration includes three key properties: search, belief, and confidence properties. Search properties refer to characteristics of a service that can be evaluated before purchase, such as price and features, allowing consumers to make informed decisions. Belief properties encompass attributes that are assessed based on consumer perceptions and experiences, which can vary widely among individuals, thereby influencing brand loyalty and preferences. Lastly, confidence properties involve the trust and assurance a customer feels toward a service provider, often built through reputation and positive past interactions. Understanding these properties is crucial for service marketing, as they directly affect how consumers evaluate service offerings and shape marketing strategies to enhance customer perception and satisfaction.

Note: correct because it accurately identifies and explains the three critical properties—search, belief, and confidence—that influence how consumers evaluate services, thereby highlighting their implications for service marketing strategies.

12. **Answer:** Forward vertical integration involves a firm merging with or acquiring companies that operate closer to the consumer, which can significantly enhance its competitive advantage and alter market dynamics. By gaining control over distribution channels, a firm can improve its market presence, reduce costs associated with intermediaries, and enhance customer service and responsiveness. This strategic move can lead to increased brand loyalty and a stronger market position as the firm can directly

influence consumer experiences and preferences. Additionally, forward integration may enable firms to capture more value from their products, thereby optimizing profit margins and increasing overall market share. However, it also requires careful management of new operational complexities and potential regulatory scrutiny.

Note: The answer correctly highlights that forward vertical integration allows a firm to gain control over distribution channels, leading to cost reductions, improved customer service, and enhanced brand loyalty, all of which contribute to a stronger competitive advantage and altered market dynamics.

End of Answer Key